POLICY BRIEF

Structural Changes in Developing Countries: Argentina's Case Study

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Abstract

Argentina faces challenges that hinder growth and inclusivity, including economic volatility, overreliance on exports, and low global integration. Inequality worsens due to insufficient investment in human capital and labor market mismatches. Key priorities are economic stabilization, reducing trade barriers, and investing in education and workforce development. Strong political commitment and coordination are crucial for success.

Keywords: Argentina, economic performance, structural reforms, trade integration, human capital, inclusive growth, macroeconomic stability, competitiveness, fiscal procyclicality.

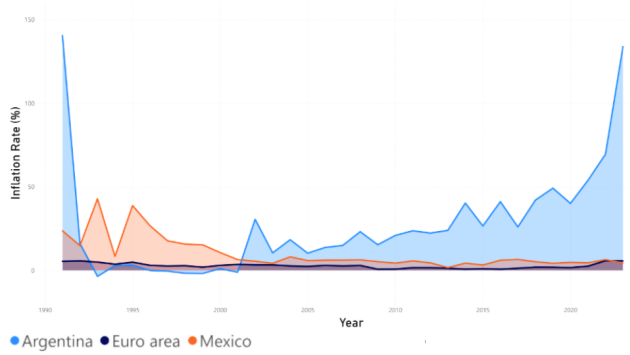


Figure 1. Inflation comparison (excluding 1990): Argentina, Eurozone and Mexico

Source: Data processing by the authors by using WB dataset.

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1 Introduction

Argentina faces significant structural challenges that hinder its path to sustainable growth and inclusivity. High fiscal procyclicality is a key issue, as the country's fiscal policies often intensify economic fluctuations, spending increases during periods of growth, and fiscal tightening deepens downturns, leading to greater instability. This volatility, combined with macroeconomic imbalances and an overreliance on commodity exports, makes Argentina vulnerable to external shocks. Furthermore, Argentina's competitiveness is limited by its low integration in global markets, and labor market mismatches contribute to inequality. To address these challenges, structural reforms are necessary to stabilize the macroeconomic environment, enhance competitiveness by reducing trade barriers, and invest in education and workforce development. Strong political commitment and institutional coordination will be crucial for implementing these measures and fostering sustainable, inclusive growth.

2 Argentina's Main Challenges

2.1 Economic Performance and Structural Challenges

Argentina faces persistent high and volatile inflation, which undermines price stability, erodes purchasing power, and fuels economic uncertainty. As shown in **Figure 1**, Argentina's inflation sharply contrasts with countries like Mexico and the Eurozone, where price stability has been maintained through effective monetary policies. Argentina's hyperinflation episodes in the early 1990s and 2024 stem from structural weaknesses, such as weak institutions, excessive money printing to finance fiscal deficits, and lack of Central Bank independence.

The BCRA remains politically influenced, unlike Mexico's independent central bank, which successfully curbed inflation through strict monetary policies and

currency stability.

Recent inflation reflects both past policies and new reforms. Milei's economic measures, including the removal of price controls and subsidies, have exposed Argentina's fiscal instability and import dependency. This reliance makes the economy vulnerable to currency fluctuations, further amplifying inflation during peso depreciations.

Simultaneously, Argentina's economic volatility and frequent recessions exacerbate instability. Over the past seventy years, Argentina has spent a third of its time in recession, with GDP contracting by 4% on average. Procyclical fiscal policies, spending surges during booms, and dependence on commodity exports worsen boom-and-bust cycles, discouraging long-term investment and deepening social vulnerabilities like poverty and unemployment.

2.2 International Trade and Global Competitiveness Challenges

Argentina faces significant challenges in integrating into the global economy, which limits its competitiveness, export growth, and economic stability. These issues stem from a combination of high trade costs, policy instability, infrastructure bottlenecks, and limited participation in trade agreements.

First, Argentina's high trade costs create major barriers for exporters and discourage foreign investment. The country's tariffs are among the highest in the region, averaging 13.4%, more than double the rates in countries like Chile and Mexico. Additionally, non-tariff measures (NTMs), such as licenses and quotas, further increase trade costs. Combined, NTMs act as an additional 22% tariff, raising the price of imports and making Argentina's firms less competitive (World Bank, 2024).

Second, Argentina's policy instability and macroeconomic imbalances exacerbate these problems. Multiple exchange rates, capital controls, and frequent shifts in trade regulations create uncertainty and discourage long-term investment. Firms struggle to access affordable intermediate goods, which limits their ability to compete in international markets. The unpredictable business environment, driven by recurring economic crises, undermines confidence among domestic exporters and foreign investors alike (World Bank, 2024).

Third, Argentina's participation in trade agreements is limited. While many countries have embraced deep trade agreements that cover not just tariffs but also services, investments, and intellectual property rights, Argentina has only eight agreements in place. These agreements are relatively shallow, focusing primarily on tariff reductions.

Additionally, MERCOSUR, Argentina's main regional trade bloc, suffers from low intra-regional trade due to protectionist policies and limited progress in reducing non-tariff barriers.

Moreover, Argentina struggles with weak trade facilitation and infrastructure, which further raises costs and delays trade. Outdated customs procedures and underdeveloped port and rail infrastructure hinder the efficient movement of goods. For instance, Argentina's adoption of the Foreign Trade Single Window remains incomplete, with only 30% of border agencies participating, compared to 100% in countries like Colombia. As a result, firms face cumbersome processes, leading to longer clearance times and higher costs (World Bank, 2024).

As shown in **Figure 2**, Argentina's trade openness is well below its potential. The graph illustrates that the country's actual trade is significantly lower than predicted based on its per capita GDP, indicating that these various barriers are hindering its ability to fully integrate into the global economy.

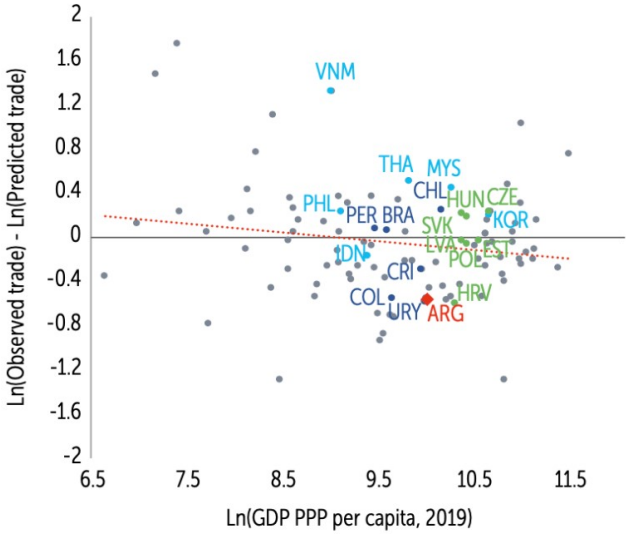


Figure 2. Observed vs. predicted trade by per capita GDP: Trade openness is well below potential

Source: Hallak and Araujo (2021).

2.3 Human Capital Development and Inclusive Growth Challenges

Argentina's labor market faces challenges such as stagnating productivity, low skill levels, and increasing precariousness. Productivity has stalled in sectors like services, commerce, and construction, where employment has grown, but productivity remains low. In contrast, higher-productivity sectors have seen limited employment growth, as highlighted in **Figure 3**.

Informality, low wages, and a skills mismatch contribute to poverty and hinder economic mobility. The public sector's reliance on job creation reflects stagnation in the private sector, and declining tertiary education attainment among younger generations threatens long-term competitiveness.

The shift to a knowledge economy has increased demand for cognitive, socioemotional, and digital skills, but Argentina struggles to meet these needs. Education quality is a major concern, with significant learning gaps and high dropout rates, especially in STEM fields. Teacher preparation is often inadequate, and there is a disconnect between educational outcomes and labor market needs. Regional disparities in policy implementation further exacerbate inequalities, with government decisions shaped by local contexts resulting in unequal access to quality education and varying attainment levels across the country.

Additionally, women's low labor force participation and high youth unemployment are key issues. Women face barriers due to care responsibilities, while youth unemployment is high due to weak links between education and job opportunities. Addressing these issues is critical to unlocking Argentina's economic potential and reducing regional and social disparities.

3 Policy recommendations

3.1 Policy Recommendations for Stabilizing Argentina's Economic Performance

Argentina must implement comprehensive reforms to stabilize inflation and reduce economic volatility. The priority is to restore Central Bank independence and adopt a credible inflation-targeting regime, ending monetary financing of deficits. By reducing reliance on printing money, Argentina can gradually restore confidence in its currency and control price instability.

On the fiscal side, Argentina should adopt countercyclical policies and a fiscal responsibility law to control spending. Establishing a fiscal stabilization fund, like Chile's copper fund, would allow savings during economic booms to cushion downturns. Pension indexation reforms and stabilizing public wages are essential to ensure fiscal sustainability.

To address structural weaknesses, Argentina must diversify its economy, reducing import dependency and overreliance on commodities. Investments in high-productivity sectors, such as manufacturing and professional services, will enhance economic resilience. Trade diversification and infrastructure improvements can foster domestic production, limiting the inflationary impact of currency fluctuations.

Finally, consistent implementation requires public trust and transparency. Effective communication and collaboration with international organizations like the IMF can provide technical expertise and financial backing. By adopting lessons from Mexico—prioritizing monetary stability and institutional reform—Argentina can reduce inflation, stabilize its economy, and promote long-term sustainable growth.

3.2 Strategies for Enhancing Argentina's Global Competitiveness

To overcome these challenges, Argentina needs a comprehensive, gradual reform strategy aimed at lowering trade costs, improving infrastructure, and deepening trade relationships.

First, Argentina must reduce trade costs. Revising the MERCOSUR Common External Tariff (CET) to align with regional peers would help lower import costs and improve competitiveness. Additionally, Argentina should streamline non-tariff measures, such as non-automatic licenses, and gradually phase out export taxes to encourage investment in export-oriented sectors.

Second, expanding participation in trade agreements is critical. Ratifying the EU-MERCOSUR Free Trade Agreement would open up new markets, particularly for Argentina's food and agricultural products, and boost real wages for both skilled and unskilled workers. Simulations indicate that this agreement would have pro-poor effects, particularly benefiting urban households (World Bank, 2024).

Improving trade facilitation and infrastructure is another priority. Argentina should accelerate the full implementation of the Foreign Trade Single Window, ensuring all border agencies participate to simplify

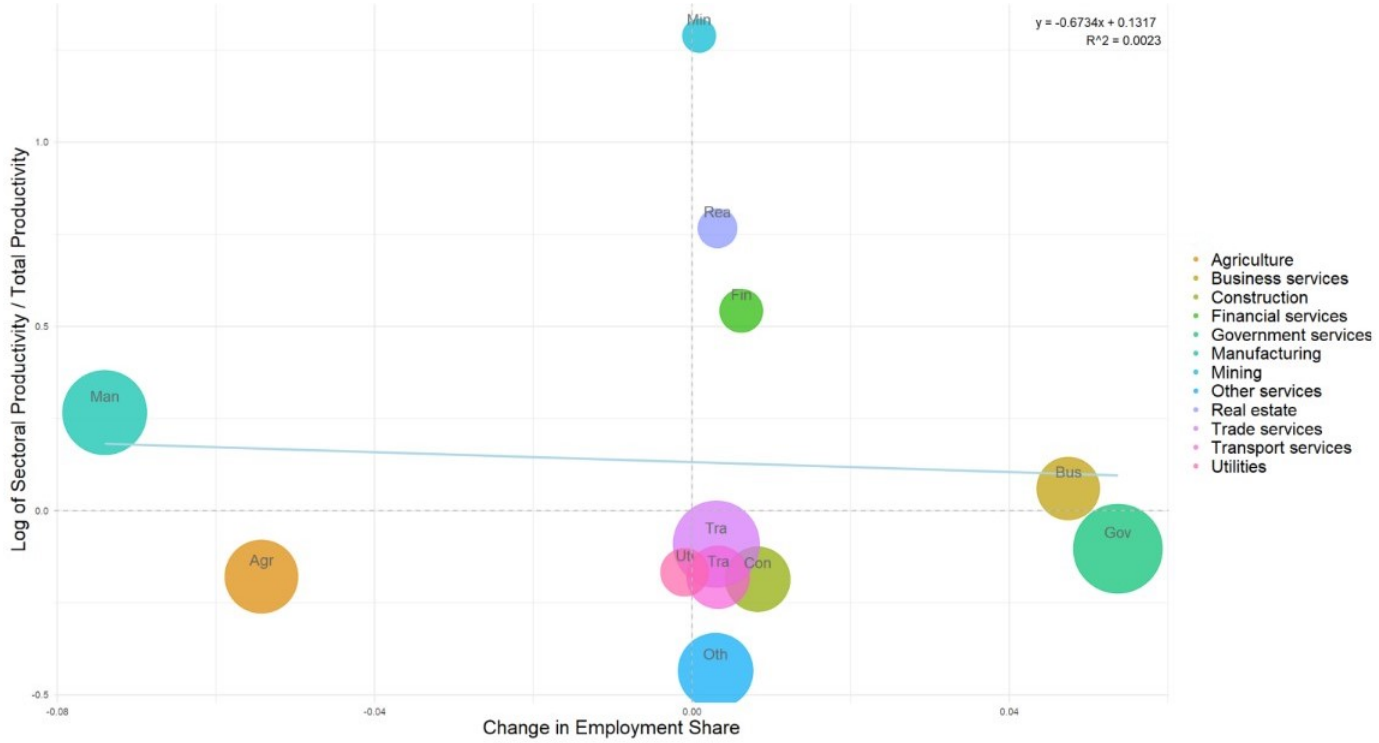


Figure 3. Correlation between Sectoral Productivity and Change in Employment Share in Argentina 1990-2018

Source: Data processing by the authors by using WB dataset.

customs procedures and reduce delays. Investments in port infrastructure and rail networks are essential to improve the efficiency of transporting bulk goods, such as agricultural products.

By addressing these challenges, Argentina can enhance its trade integration, increase competitiveness, and foster sustainable economic growth. Lowering trade costs, improving infrastructure, and expanding trade agreements will allow Argentina to fully capitalize on its comparative advantages in agriculture and emerging knowledge-based sectors. A gradual and well-coordinated strategy, supported by macroeconomic stability and active labor policies, will ensure that the benefits of trade-driven growth are shared broadly across society.

3.3 Policy Actions for Advancing Human Capital and Inclusive Growth

Argentina's labor market faces significant challenges in creating quality jobs, driven by evolving skill requirements, informality, and changing work structures.

To address these issues, reforms are essential. Fostering human capital development through improvements in early education, teacher training, and formative assessments is crucial to reduce dropout rates and enhance learning outcomes. Active labor market programs (ALMPs) need to be restructured to prioritize skills development and better align training with the needs of employers, ensuring that workers are prepared for the evolving job market.

Additionally, increasing labor market opportunities for women, particularly through expanded access to childcare and family leave, can enhance female participation in the workforce. To support the changing nature of work, lifelong learning initiatives should be introduced to provide workers with continuous opportunities to upskill and reskill throughout their careers, with a focus on older workers who may face greater challenges adapting to new job requirements.

Finally, strengthening unemployment benefits and severance pay is critical to provide better protection for displaced workers and fill gaps in the social safety net. These reforms are essential for Argentina to transition to a more dynamic, skills-driven labor market that can meet the demands of a rapidly changing economy.

4 Figures and Data Availability

Some of the graphs in this paper were created by the authors. Additional insights and detailed data are available upon request or can be accessed through this link.

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